EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q2 FY2026 · Model data as of 2026-10-19

HOLD

Composite · Valuation: HOLD

Target $516.77 · -3.3% upside

Price $534.43

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target $516.77 (-3.3% vs $534.43); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT $516.77	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEUTRAL	Score +0.00 · 12m +5%	15%
Composite	HOLD	Score +0.07 · 50% confluence	—

Solid financial statement profile.

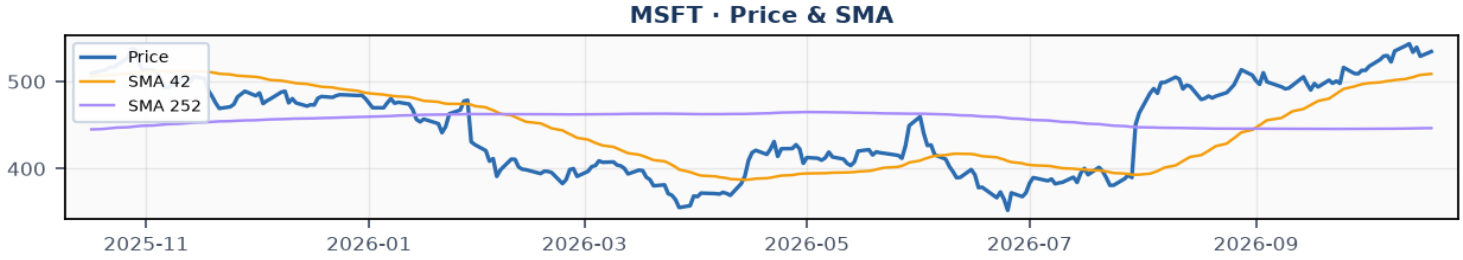
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation, a technology company, develops and supports a portfolio of technology solutions for individuals and businesses worldwide. Its... **HOLD** rating; blended target $516.77. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$3.97T	Shares Out.	7425.5M
52-Week Range	$349.20 – $553.72	P/E (TTM)	29.8x
P/B	9.0x	Beta	1.10
Avg Volume	26.82M	Analyst Rec.	Strong Buy
Revenue (TTM)	$331.84B	Rev Growth	+17.7%
Op. Margin	45.1%	FCF (TTM)	$66.99B
Gross Margin	67.9%	ROE	34.0%
EV/EBITDA	20.5x	Debt/Equity	29.1%
EPS (TTM)	$17.95	Div Yield	74.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue ($M)	281,724	331,839	390,575	441,896	485,856
Revenue Growth (%)	N/A	17.8%	17.7%	13.1%	9.9%
Net Income ($M)	101,832	133,749	157,423	178,108	195,826
Gross Margin (%)	68.8%	67.9%	67.9%	67.9%	67.9%
Net Margin (%)	36.1%	40.3%	40.3%	40.3%	40.3%
EPS ($)	13.71	18.01	21.20	23.99	26.37
P/E (x)	38.97	29.67	25.21	22.28	20.27

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$508.81	Short-term trend	12m Momentum	+4.9%	
SMA (252d)	$446.55	Long-term trend	3m Momentum	+37.2%	
RSI (14d)	65.9	Momentum oscillator	Ann. Volatility	28.2%	
Trend	Bullish		Sharpe Ratio	0.31	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-1.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$508.81, SMA252=$446.55	Quant Score	+0.00	NEUTRAL
			SMA Backtest (ann.)	8.9%	B&H; 23.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$199.98	-62.6%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	$496.14	-7.2%	80%	Included in blend
Analyst consensus	$599.28	+12.1%	20%	Included in blend
Blended target	$516.77	-3.3%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.04%	4.00%	8.85%	$1.48T	$199.98	-62.6%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	$395.46B	20.4x	15.3x	26.4%	+29.6%
CRM	Salesforce, Inc.	$199.31B	22.2x	17.8x	22.0%	+10.8%
NOW	ServiceNow, Inc.	$150.20B	90.8x	52.0x	11.3%	+24.0%
IBM	International Business	$223.74B	21.1x	16.8x	15.5%	+1.1%
MSFT*	Microsoft Corporation	$3.97T	29.8x	20.5x	40.3%	+17.7%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.7% YoY); High operating leverage (45.1% margin); Sector: Technology | Industry: Software - Infrastructure · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.